

bit of pain, but not enough to get me out. After a few weeks, what should have been a 10-tick loss ended up being a 50-tick loss, and suddenly it was real money. I realized there was no reason for letting what should have been a small loss turn into a big loss.

I learned to trade first with my own money, which didn't work out that well, and then by advising clients as a commodity broker and doing okay. Then in 1982, I leased a seat on the IMM and went down to trade from the floor.

You gave up sales?

No. I teamed up with the broker in the office who had helped me get the job as a broker with the firm. We pooled our clients. I wanted to trade from the floor, and he stayed in the office.

How was your being on the floor going to be beneficial?

I thought that having information about who was doing what would be very helpful.

But in the office, you had the screens, which you didn't have on the floor. Wouldn't giving up the screens have been a disadvantage?

Good question. It turned out that it was. It was like putting blinders on. I learned to trade on a Quotron where I could see prices changing in all the markets. When I was in the pit, all I could see was what was going on in that one market. I couldn't feel what the other external influences were on that market. I had become used to seeing all the markets trade and observing the relationships between their price movements. In fact, the relationship between price movements in different markets is a core part of my current trading strategy. I also very quickly learned that standing on my feet all day screaming wasn't the way I wanted to make a living.

Did having the who-is-doing-what information provide any compensating benefits?

When a guy comes in and sells a 100-lot, you don't know what it means.

But you thought that it might be helpful before you went down to the floor?